

Registration number: 08316049

Ooni Limited

Annual Report and Consolidated Financial Statements

for the Year Ended 31 December 2023

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Ooni Limited

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Ooni Limited

Company Information

Directors	A Brown D Garland P Ross M K Tapaninaho
Registered office	Walderslade Accounting Services 105 Hopewell Business Centre Unit 20 Hopewell Drive Chatham Kent ME5 7DX
Auditors	RSM UK Audit LLP Chartered Accountants Third Floor Centenary House 69 Wellington Street Glasgow Scotland G2 6HG

Ooni Limited

Strategic Report for the Year Ended 31 December 2023

The directors present their strategic report for the year ended 31 December 2023.

Fair review of the business

The principal activities of the group are to develop, market and sell portable pizza ovens and related accessories for use at home.

2023 saw a continuation of the challenging market conditions for consumer products globally, and in particular the outdoor market. Against this backdrop, the group has delivered turnover of £157.6m (2022: £208.0m). Though this represents a 24% decline against 2022, the group's annual growth over the three years is 40%, and over four years is 84%.

Despite the decline in revenues and the uncertainty of the geopolitical backdrop, 2023 has been a year of relative operational stability for the group, in comparison to the tumultuous period of growth since 2019. Manufacturing timelines, transit times and global sea freight rates returned to pre-pandemic levels. Our headcount only grew by 8% from the start to the end of 2023, compared to 44% in 2022 and 191% in 2021. Our inventory balance decreased from £56.1m to £28.0m, liquidating £28.1m in working capital and allowing us to clear down our revolving credit facility.

The group has continued to invest for long term growth, with a focus on people and technology - including implementing an upgraded ERP system. We also continue to drive efforts in our go-to-market capability in digital marketing and ecommerce, as well as our international sales teams, to strengthen our relationships with some of the world's most well known retailers. The group's multi-channel, multi-regional strategy provides diversified income streams and maximises revenue opportunities.

The Ooni brand continues to grow in consumer awareness across all of our markets as a result of our marketing activities, combined with our award-winning products and word-of-mouth referrals and development of our global retailer and distributor relationships.

We have increased our investment in product development and innovation. In March 2023 we launched our first electric oven, Ooni Volt, and the next generation wood fired oven, Karu 12G. Along with numerous accessory launches, these ovens demonstrate the leading position of Ooni's products in the market, developing exceptional pizza making experiences for our customers. Further to this, product development activities in 2023 came to bear in early 2024, with the launch of Koda 2 Max, our first 24" pizza oven. FYI it's amazing and you should definitely buy one.

In January 2023, the Directors were delighted to announce that Ooni became a Certified B Corp™. After undertaking a rigorous assessment and verification process, we have joined a community of like-minded companies and leaders using business as a force for good. We note the amendment to the Ooni Limited company articles to include our commitment to having a material positive impact on society and environment.

Ooni Limited

Strategic Report for the Year Ended 31 December 2023

Principal risks and uncertainties

Global Political & Taxation / Tariff Changes - we import our manufactured products into various markets including the US, UK and EU. We remain subject to the risk of political change and policies impacting upon our impact capability, cost base and potential tariffs or duties.

Foreign currency risk - the group's key currencies are Sterling, Euro and US dollar. The group is exposed to transaction based foreign currency risk, which has historically been managed through a natural hedge due to non-sterling denominated trading activity which offsets exposure to the cost base.

Product failure - the group produces products which operate using combustible materials at high temperatures. The group is exposed to the risk that a fault in such a product could lead to a product recall, or worse, serious injury. The group has an extensive testing program in place to ensure that the design of products is in line with applicable certification standards, and a rigorous multi-stage quality control procedure to inspect and test products once manufactured.

Liquidity risk - the directors regularly review the forward-looking cash flow position to manage any liquidity risk. In February 2024, Ooni Limited's revolving credit facility was paid down in full and closed. As the cash pressure from growth has declined, the group is operating within the limits of a \$9m working capital facility, and at the date of approval of these accounts less than \$2.0m of the working capital facility remains drawn.

Systems risk - much of the group's revenue is derived from web sales. If our website went down for an extended period this would negatively impact trade. The group's website is hosted by one of the world's leading ecommerce platform providers, and the group employs an internal web development team and external IT support function for maintenance and ongoing cyber security and resilience respectively.

Customer communities - customer advocacy is recognised as a key driver of Ooni's success. Product performance, shipping times and customer support all impact customer satisfaction and brand loyalty. We continue to invest in our people and systems to optimise the customer journey, including after-sale support.

Key performance indicators

Turnover for the year was £157m (2022: £208m). This decline is driven firstly by the exceptional nature of 2021 and 2022 sales figures, where global demand for outdoor consumer products was extremely high, peaking in early 2022. Difficult market conditions, as well as timing of restocking wholesale partners who carried relatively heavy inventory balances at the close of 2022 have also contributed to the decline. Our channel mix, which is a key driver of gross margin, remained broadly flat versus 2022, and our gross profit as a percentage of turnover was 55% (2022: 54%).

The group reported an operating loss for the year of £5.9m (2022: £29k loss). This decline is driven by the decrease in revenue, in combination with an increase in overheads. The loss is amplified by the exorbitant global freight rates experienced between late 2021 and the end of 2022. Combined with detention charges incurred as a result of port congestion, door to door inbound freight rates peaked at up to 15 times the pre-pandemic averages. We were relieved to see rates return to normal as of 2022. The stabilisation of these rates allowed us to write off any remaining excess freight charges carried in our inventory value. This resulted in a one off cost of £5.0m in 2023.

Through our renewed partnership with 1% for the Planet, we allocate 1% of our turnover from our Fyra ovens to be donated to verified environmental organisations around the world. In 2023, we pledged nearly £0.5m to various organisations and, as at April 2024, in partnership with Eden Reforestation Projects, had supported the planting of nearly 600,000 trees at a new reforestation site in Kenya.

Ooni Limited

Strategic Report for the Year Ended 31 December 2023

Other key performance indicators

The group reviews a range of short and medium-term performance indicators. These include detailed performance metrics of web sales such as conversion rates, cost per customer acquisition and average transaction value - which have declined in line with the relative fall in revenue versus 2022. Our customer net promoter score and employee net promoter score remained excellent throughout 2023.

Future developments

The directors remain positive in the long term outlook for Ooni. 2023 has been a year of transition for Ooni, emerging from the rapid growth brought about by the Covid-19 pandemic and building the systems, processes and infrastructure to sustain the scaled up operations across our whole business. We expect 2024 revenue will remain at or slightly below 2023, but will spend this time building new retailer relationships, launching products and strengthening our team. The Directors are confident in growth in profit in 2024 and beyond, particularly as a result of ocean freight rates returning to normal levels. We continue to reinvest our profits in the business, primarily focused on investment in product development to ensure that Ooni products remain at the forefront of the industry, and building sales and brand awareness across all channels.

Going concern

At 31 December the Group's cash position was £6.8m. Drawings on the revolving credit facility were £2.8m. The group forecasts for 2024 show a return to profitability and positive cash flow generation is expected in the next financial year and beyond, driven by working capital effectiveness and cost saving measures which were implemented post year end and are already bringing improvements.

The Directors have reviewed the current performance and cash flow forecasts, and are satisfied that the group's forecasts and projections, taking account of potential changes in trading performance, show that the group will be able to operate within its facilities for the foreseeable future, and at a minimum for 12 months from the date of signing the financial statements.

The Group's revolving credit facility expired in February 2024 and a new facility was entered into to provide additional comfort for operational cashflow and future investment.

The Directors have therefore continued to accept the going concern basis in preparing the group's financial statements.

Ooni Limited

Strategic Report for the Year Ended 31 December 2023

Directors duties

Section 172 of the Companies Act 2006 requires directors to take into consideration the interests of stakeholders in their decision making. The directors continue to have regard to the interests when making decisions, including the impact of its activities on the community, environment and the company's reputation.

Acting in good faith and fairly, the directors consider what is most likely to promote the success of the company for its members in the long term. Whilst the importance of giving due consideration to our stakeholders is not new, this explains in more detail this year how the Board engages with stakeholders and setting out how directors have discharged this duty.

All directors are aware of their statutory duties and on appointment to the Board, new directors are given opportunity to meet key stakeholders. The Board will continue to keep engagement methods under review to ensure that they remain effective. The following key points are important in the assessment of the compliance with the requirements of the s172 Statement:

- The Board regularly considers the principal stakeholders and how they engage with them. The Board seeks to consider the needs and priorities of each stakeholder group during its discussions and as part of its decision making.
- The long term strategy of the company is monitored regularly to ensure this aligns with the vision of the group as a whole. The resulting assessment of future development helps inform the Board's decision making and the balance between short term and long term measures and actions.
- The Board continues to enhance its methods of engagement with the workforce through regular internal communications which are delivered by the management teams.
- The group's policies on a wide range of business and ethics related practices are regularly reviewed and updated as necessary so as to ensure continued compliance with legal and regulatory requirements and good industry practice. The Board monitor the group's policies through the ordinary course of business to ensure the policies are being adhered to.

Non-financial and sustainability information

Energy and carbon report

This section discloses our energy consumption, greenhouse gas emissions and energy efficiency initiatives from January to December 2023 in line with the UK Government's Streamlined Energy and Carbon Reporting (SECR) regulation - under the Companies (Directors' Report) and Limited Liability Partnerships (Energy and Carbon Report) Regulations 2018.

As a large unquoted company with UK energy use over 40MWh, we are required to disclose associated UK GHG emissions from energy use.

Strategy

A full list of conversion factors and assumptions used can be found under the Transparency & Reporting section at <https://uk.ooni.com/pages/impact>.

This summary has been prepared following the GHG Reporting Protocol - Corporate Standard & using the guidance set out in the UK Government Environmental Reporting Guidelines (March 2019). As this is our third SECR reporting year, across all categories of data, we have continued to improve the quality of primary data obtained and used in our carbon calculations and reporting.

Ooni Limited

Strategic Report for the Year Ended 31 December 2023

Quantification and reporting methodology

• *Natural Gas:*

The scope of assessment covers our two UK offices, Austin office and German office.

No mains gas consumption has taken place in either the UK Lomond House or Melbourne offices.

Natural gas consumption data has been provided for Ooni Park and Austin through the use of meter readings.

For Austin, meter readings are provided for the entire building, rather than each tenant's unit. Ooni's share of consumption in Austin is calculated by working out Ooni's proportion of the total building floor area each month multiplied by the total gas consumption for the building.

Natural gas estimations for the Bonn office have been updated to use Ooni Park Unit 4 usage as a proxy due to its increased comparability to the type of office space used in Bonn. Using the information from our Q1 2023 ESOS audit, it was decided that Ooni Park Unit 4 was a more comparable proxy for natural gas consumption compared to Ooni Park Unit 5 (used for electricity). We are continuing to work on gathering primary data to replace the use of proxy data for natural gas consumption in the Bonn office. The same method has been applied as per previous years:

- Total kWh of usage for OP Unit 4 divided by the m² of the office space in OP Unit 4 = kWh/m².
- This is then applied to the office space at Bonn to calculate the estimated kWh of natural gas consumed.
- Green gas has been confirmed for Ooni Park units 5 and 4a from 1st August until and including 31st December. The total kWh of gas consumption has been split into biogas and natural gas based on the number of days under each of the 'non-renewable' and 'green gas' contracts.
- All energy totals are on a gross calorific value basis.

Testing Fuels:

The scope of assessment now covers two UK offices and Austin office.

Testing fuels are not reported in the German and Melbourne offices.

Wood usage at the Austin office has not been reported. The wood use in Austin would be restricted to staff oven use (i.e. lunches) as there is no workshop present on-site. Lacking a suitable proxy usage rate as a basis for an estimation, the wood usage at Austin offices has been excluded from this report. Efforts are underway to collect activity data to include wood usage in future.

To convert the testing fuels from their different units (tCO₂e, kg, L) into kWh, the DEFRA Greenhouse Gas Conversion Factors and corresponding conversion properties have been used

All energy totals are on a gross calorific value basis.

Refrigerants:

The scope of assessment covers two UK offices, Austin office and German offices.

Refrigerants were not reported in the Melbourne office.

Some data was available for the Austin office fridges and freezers. An additional estimation has taken place for the Austin AC estimations using Ooni Park Unit 5 as the proxy. Ooni Park Unit 5 is considered to be the most comparable proxy as it is the main office space. We are continuing to work on gathering primary data to replace the use of proxy data for refrigerant usage in the Bonn office. The same method has been applied as per previous years:

The following method has been applied:

Total tCO₂e/year of OP Unit 5 refrigerants divided by the m² of the office space in OP Unit 5 = kgCO₂e/m²/year.

- This is then applied to the office space at Austin to calculate the estimated tCO₂e of additional refrigerant use.

No top-ups, new units or disposal units were recorded in 2023, so metric tonnes CO₂e were determined by the rate of leakage of AC units.

The GWP of each refrigerant has been updated using the DEFRA Greenhouse Gas Conversion Factors (2023).

Ooni Limited

Strategic Report for the Year Ended 31 December 2023

Electricity:

The scope of assessment covers all offices: UK Ooni Park, Lomond House, German, Melbourne and Austin offices.

UK Ooni Park Unit 1C has a broken meter so no usage was reported in 2023. In addition, the space was only used for storage and so has not been included in the electricity calculations.

No data was available for the Bonn office, therefore electricity consumption has been estimated using Ooni Park, Unit 5. Ooni Park Unit 5 is considered to be the most comparable proxy as it is the main office space. We are continuing to work on gathering primary data to replace the use of proxy data for electricity consumption in the Bonn office.

The following method has been applied:

Total kWh/year of OP Unit 5 consumption divided by the m² of the office space in OP Unit 5 = kWh/m² /year.

• This was then applied to the office space at Bonn to calculate the estimated kWh of electricity consumption at Bonn.

Electricity at Bonn and Austin has been reported as a standard electricity tariff (i.e. not renewable).

Renewable electricity has been recorded at the following units/locations:

- UK Lomond House (01.01.23 - 31.07.23 and 01.12.23 - 31.12.23)
- UK Ooni Park Units 1A, 5 and 6 (01.08.23 - 31.12.23)
- UK Ooni Park Units 2 and 4A (01.08.23 - 31.12.23)
- UK Ooni Park - Unit 3 (01.08.23 - 31.12.23)
- Melbourne office (full year)

The renewable electricity consumption was determined according to the number of the days the tariff was active.

For Austin, meter readings are provided for the entire building, rather than each tenant's unit. Ooni's share of consumption in Austin is calculated by working out Ooni's proportion of the total building floor area each month multiplied by the total electricity consumption for the building.

Emissions and energy consumption

Summary of energy consumption for the year ended 31 December 2023:

Name and description	Metric and / or KPI	2023	2022
Gas combustion	KWh	702,053.00	67,104.00
Fuel consumed for transport	KWh	0.00	0.00
Electricity purchased	KWh	24,511.00	100,317.00
Combustion of fuels for product testing	KWh	419,760.00	21,331.00
		<u>1,146,324.00</u>	<u>188,752.00</u>

Summary of scope 1 (direct) greenhouse gas emissions for the year ended 31 December 2023:

Name and description	Metric and / or KPI	2023	2022
Natural gas	Metric tonnes	77.53	13.96
Product testing fuels	Metric tonnes	5.05	2.90
Refrigerants	Metric tonnes	19.84	6.60
Outside of scopes emissions	Metric tonnes	61.94	0.00
		<u>164.36</u>	<u>23.46</u>

Ooni Limited

Strategic Report for the Year Ended 31 December 2023

Summary of scope 2 (indirect) greenhouse gas emissions for the year ended 31 December 2023:

Name and description	Metric and / or KPI	2023	2022
Market-based	Metric tonnes	249.93	108.80
Location-based	Metric tonnes	285.72	125.90
Out of scope emissions	Metric tonnes	108.77	0.00
		<u>644.42</u>	<u>234.70</u>

Intensity ratio

Scope 1 & 2 & select categories of Scope 3..

	<u>2023</u>	<u>2022</u>
Tonnes CO ₂ e per £million of turnover	2	1

Total annual turnover used for intensity ratio was £157,553,030.

Energy efficiency actions

Our global Scope 1 and 2 emissions increased to 388.14 tCO₂e (2022: 149.4 tCO₂e). This is mainly due to an increase in the scope (in terms of number of units and offices where data has been reported) of reporting across all categories of data.

In kWh terms, UK energy consumption increased to 1,146,324 kWh (2022: 188,752 kWh). This was driven by an increase in natural gas consumption and electricity consumption, ultimately resulting from increases in the following:

- More units (therefore floor space/area) acquired at Ooni Park in 2023 compared to 2022.
- The Lomond House office became fully operational in January 2023.
- 2023 has seen a higher headcount and a higher footfall in offices per week compared to 2022.
- More testing fuels used overall, with more precise data for testing fuels provided in 2023 compared to 2022. In addition, in 2022 consumption in the Austin office only covered one third of the year, whereas 2023 represents Austin's first full year of SECR reporting, hence an increase in consumption.

Refrigerant use has increased to 19.84 tCO₂e (2022: 6.6 tCO₂e), partly due to the additional refrigerant use in Austin taking into account a full year of operation, compared to just a third of the year in 2022 (when the office was acquired and first used).

Measures taken to improve energy efficiency

Following our progress in FY22 and our ESOS audit conducted in February 2023 we have implemented a variety of measures in our UK offices to improve energy efficiency and reduce consumption.

In Lomond House, we have implemented the following:

Measures to reduce consumption. We have:

- closed the office during quiet periods.
- changed all our heating systems to come on automatically when needed to reduce unnecessary consumption.
- implemented motion sensors for the main office floor lighting.
- continued our internal engagement and communications to encourage power saving in office premises and ultimately reduce unnecessary consumption - e.g. switching off meeting room lights / appliances when not in use.

Ooni Limited

Strategic Report for the Year Ended 31 December 2023

In Ooni Park, we have implemented the following:

Green tariffs

- We have changed all our electricity supplies to Ecotricity, who provide us with a 100% renewable energy tariff. This has helped reduce our Scope 2 market-based emissions for FY23.
- For some of our units in Ooni Park (Unit 5 and Unit 4A) we are now procuring green gas.

Measures to improve energy efficiency. We have:

- replaced old high bay lights with LED lights.
- replaced our fluorescent lights with dimmable LED lights.
- serviced our boiler and replaced any old or worn parts.
- serviced (no refrigerant top-up) and cleaned our A/C units and replaced broken fans in the compressor unit.

Measures to reduce consumption. We have:

- sensor activated lights in some bathroom and shower facilities.
- re-sealed doors in unit 6 and 5 to reduce any heat from escaping through drafts, therefore reducing consumption as more heat is retained within the unit.
- continued our internal engagement and communications to encourage power saving in office premises and ultimately reduce unnecessary consumption - e.g. switching off meeting room lights / appliances when not in use.

Lastly, for both Ooni Park and Lomond House, we are in the process of changing all meters to smart meters. This will help ensure that meter readings are kept up to date and any inconsistencies or errors in consumption can be investigated sooner. Where we do not yet have smart meters, meter readings are conducted monthly by the Facilities Team.

Approved and authorised by the Board on 12/09/24 and signed on its behalf by:

Andrew Brown

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A Brown
Director

Ooni Limited

Directors' Report for the Year Ended 31 December 2023

The directors present their report and the consolidated financial statements for the year ended 31 December 2023.

Principal activities

The principal activity of the company and group continued to be the sale and distribution of pizza ovens and accessories.

Directors of the group

The directors who held office during the year were as follows:

A Brown

D Garland

P Ross

M K Tapaninaho

The company has made qualifying third party indemnity provisions for the benefit of its directors during the year. These provisions remain in force at the reporting date.

Dividends

The results for the year are set out on page 16.

Ordinary dividends were paid amounting to £658,946 (2022: £2,036,189). The directors do not recommend payment of a further dividend.

Disclosure of information to the auditor

Each director has taken steps that they ought to have taken as a director in order to make themselves aware of any relevant audit information and to establish that the company's auditor is aware of that information. The directors confirm that there is no relevant information that they know of and of which they know the auditor is unaware.

Reappointment of auditor

In accordance with section 485 of the Companies Act 2006, a resolution for the re-appointment of RSM UK Audit LLP as auditor of the company is to be proposed at the forthcoming board meeting.

Approved and authorised by the Board on 12/09/24 and signed on its behalf by:

Andrew Brown

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A Brown

Director

Ooni Limited

Statement of Directors' Responsibilities

The directors acknowledge their responsibilities for preparing the Strategic Report and the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare group and company financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the group and the company and of the profit or loss of the group for that period. In preparing each of the group and company financial statements, the directors are required to:

- select suitable accounting policies and apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the group's and the company's transactions and disclose with reasonable accuracy at any time the financial position of the group and the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the group and the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Ooni Limited

Independent Auditor's Report to the Members of Ooni Limited

Opinion

We have audited the financial statements of Ooni Limited (the 'parent company') and its subsidiaries (the 'group') for the year ended 31 December 2023, which comprise the Consolidated Profit and Loss Account, Consolidated Balance Sheet, Company Balance Sheet, Consolidated Statement of Changes in Equity, Company Statement of Changes in Equity, and Notes to the Financial Statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including FRS 102 'The Financial Reporting Standard applicable in the UK and Republic of Ireland' (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:

- give a true and fair view of the state of the group's and the parent company's affairs as at 31 December 2023 and of the group's loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the group and parent company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate. Our evaluation of the directors' assessment of the group's and parent company's ability to continue to adopt the going concern basis of accounting included but was not limited to reviewing and challenging sensitised forecasts, which extended to more than 12 months subsequent to the date of the audit report, considering the financing available to the group and evaluating whether disclosures were appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the group's ability to continue as a going concern for a period of at least twelve months from when the original financial statements were authorised for issue.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Other information

The other information comprises the information included in the annual report, other than the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether there is a material misstatement in the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

Ooni Limited

Independent Auditor's Report to the Members of Ooni Limited

We have nothing to report in this regard.

Opinion on other matter prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Strategic Report and Directors' Report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the Strategic Report and Directors' Report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception

In the light of our knowledge and understanding of the group and the parent company and their environment obtained in the course of the audit, we have not identified material misstatements in the Strategic Report and the Directors' Report.

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept by the parent company, or returns adequate for our audit have not been received from branches not visited by us; or
- the parent company financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors

As explained more fully in the Statement of Directors' Responsibilities, set out on page 11, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the group or the parent company or to cease operations, or have no realistic alternative but to do so.

Auditor Responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Ooni Limited

Independent Auditor's Report to the Members of Ooni Limited

The extent to which our procedures are capable of detecting irregularities, including fraud

Irregularities are instances of non-compliance with laws and regulations. The objectives of our audit are to obtain sufficient appropriate audit evidence regarding compliance with laws and regulations that have a direct effect on the determination of material amounts and disclosures in the financial statements, to perform audit procedures to help identify instances of non-compliance with other laws and regulations that may have a material effect on the financial statements, and to respond appropriately to identified or suspected non-compliance with laws and regulations identified during the audit.

In relation to fraud, the objectives of our audit are to identify and assess the risk of material misstatement of the financial statements due to fraud, to obtain sufficient appropriate audit evidence regarding the assessed risks of material misstatement due to fraud through designing and implementing appropriate responses, and to respond appropriately to fraud or suspected fraud identified during the audit. However, it is the primary responsibility of management, with the oversight of those charged with governance, to ensure that the entity's operations are conducted in accordance with the provisions of laws and regulations and for the prevention and detection of fraud.

In identifying and assessing risks of material misstatement in respect of irregularities, including fraud, the group audit engagement team:

- obtained an understanding of the nature of the industry and sector, including the legal and regulatory framework that the group and parent company operate in and how the group and parent company are complying with the legal and regulatory framework;
- inquired of management, and those charged with governance, about their own identification and assessment of the risks of irregularities, including any known actual, suspected or alleged instances of fraud;
- discussed matters about non-compliance with laws and regulations and how fraud might occur including assessment of how and where the financial statements may be susceptible to fraud.

As a result of these procedures we consider the most significant laws and regulations that have a direct impact on the financial statements are FRS 102 and the Companies Act 2006. We performed audit procedures to detect non-compliances which may have a material impact on the financial statements which included reviewing financial statement disclosures.

The group audit engagement team identified management override of controls and revenue recognition in relation to existence and cut off as the areas where the financial statements were most susceptible to material misstatement due to fraud. Audit procedures performed included but were not limited to testing manual journal entries and other adjustments and evaluating the business rationale in relation to significant, unusual transactions and transactions entered into outside the normal course of business. Audit procedures performed on revenue recognition included but were not limited to using data analytics to test transactions impacting revenue that do not follow the usual transaction flow and testing revenue transactions around the year-end date.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at: www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Use of our report

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Ooni Limited

Independent Auditor's Report to the Members of Ooni Limited

K Morrison

.....
Katie Morrison (Senior Statutory Auditor)
For and on behalf of RSM UK Audit LLP, Statutory Auditor

Chartered Accountants
Third Floor
Centenary House
69 Wellington Street
Glasgow
Scotland
G2 6HG

Date: 12/09/24

Ooni Limited

Consolidated Profit and Loss Account for the Year Ended 31 December 2023

	Note	2023 £	2022 £
Turnover	3	157,553,030	207,950,656
Cost of sales		<u>(70,000,139)</u>	<u>(96,636,255)</u>
Gross profit		87,552,891	111,314,401
Distribution costs		(31,706,474)	(39,101,292)
Administrative expenses		(61,850,068)	(72,183,649)
Other operating income		<u>76,201</u>	<u>-</u>
Operating (loss)/profit	8	(5,927,450)	29,460
Interest payable and similar expenses	4	<u>(1,755,733)</u>	<u>(1,468,021)</u>
Loss before tax		(7,683,183)	(1,438,561)
Tax on loss	9	<u>(1,603,255)</u>	<u>(345,128)</u>
Loss for the financial year		<u><u>(9,286,438)</u></u>	<u><u>(1,783,689)</u></u>
Loss attributable to:			
Owners of the company		<u><u>(9,286,438)</u></u>	<u><u>(1,783,689)</u></u>

The above results were derived from continuing operations.

The group has no recognised gains or losses for the year other than the results above.

Ooni Limited

(Registration number: 08316049)

Consolidated Balance Sheet as at 31 December 2023

	Note	2023 £	2022 £
Fixed assets			
Intangible assets	11	1,012,263	554,368
Tangible assets	12	<u>3,976,951</u>	<u>3,429,280</u>
		<u>4,989,214</u>	<u>3,983,648</u>
Current assets			
Stocks	14	28,042,974	56,075,675
Debtors	15	16,596,691	25,688,884
Cash at bank and in hand		<u>6,824,695</u>	<u>7,877,609</u>
		51,464,360	89,642,168
Creditors: Amounts falling due within one year	18	<u>(21,911,150)</u>	<u>(48,728,108)</u>
Net current assets		<u>29,553,210</u>	<u>40,914,060</u>
Total assets less current liabilities		34,542,424	44,897,708
Provisions for liabilities		<u>-</u>	<u>(336,687)</u>
Net assets		<u>34,542,424</u>	<u>44,561,021</u>
Capital and reserves			
Called up share capital	21	15	15
Share premium reserve	22	71,599	71,599
Retained earnings	22	<u>34,470,810</u>	<u>44,489,407</u>
Equity attributable to owners of the company		<u>34,542,424</u>	<u>44,561,021</u>
Shareholders' funds		<u>34,542,424</u>	<u>44,561,021</u>

Approved and authorised by the Board on 12/09/24..... and signed on its behalf by:

Andrew Brown

.....
A Brown
Director

The notes on pages 21 to 41 form an integral part of these financial statements.

Ooni Limited

(Registration number: 08316049) Company Balance Sheet as at 31 December 2023

	Note	2023 £	2022 £
Fixed assets			
Intangible assets	11	1,012,263	554,368
Tangible assets	12	3,151,606	2,566,574
Investments	13	44,074	39,811
		<u>4,207,943</u>	<u>3,160,753</u>
Current assets			
Stocks	14	11,304,417	18,723,022
Debtors	15	22,423,215	49,714,196
Cash at bank and in hand		2,901,526	2,445,526
		<u>36,629,158</u>	<u>70,882,744</u>
Creditors: Amounts falling due within one year	18	<u>(13,591,706)</u>	<u>(34,379,351)</u>
Net current assets		<u>23,037,452</u>	<u>36,503,393</u>
Total assets less current liabilities		27,245,395	39,664,146
Provisions for liabilities		-	(336,687)
Net assets		<u>27,245,395</u>	<u>39,327,459</u>
Capital and reserves			
Called up share capital	21	15	15
Share premium reserve		71,599	71,599
Retained earnings		27,173,781	39,255,845
Shareholders' funds		<u>27,245,395</u>	<u>39,327,459</u>

The company made a loss after tax for the financial year of £11,423,117 (2022 - loss of £5,721,548).

As permitted by section 408 of the Companies Act 2006, the Company has not presented its own profit and loss account and related notes as it prepares consolidated accounts.

Approved and authorised by the Board on 12/09/24 and signed on its behalf by:

Andrew Brown

.....
A Brown
Director

The notes on pages 21 to 41 form an integral part of these financial statements.

Ooni Limited

Consolidated Statement of Changes in Equity for the Year Ended 31 December 2023 Equity attributable to the parent company

	Share capital £	Share premium £	Retained earnings £	Total equity £
At 1 January 2023	15	71,599	44,489,407	44,561,021
Loss for the year	-	-	(9,286,438)	(9,286,438)
Dividends	-	-	(658,946)	(658,946)
Other movements on reserves	-	-	(73,213)	(73,213)
At 31 December 2023	<u>15</u>	<u>71,599</u>	<u>34,470,810</u>	<u>34,542,424</u>

	Share capital £	Share premium £	Retained earnings £	Total equity £
At 1 January 2022	411	71,599	48,220,279	48,292,289
Loss for the year	-	-	(1,783,689)	(1,783,689)
Dividends	-	-	(2,036,189)	(2,036,189)
Other capital redemption reserve movements	(396)	-	396	-
Share based payment transactions	-	-	10,000	10,000
Other movements on reserves	-	-	78,610	78,610
At 31 December 2022	<u>15</u>	<u>71,599</u>	<u>44,489,407</u>	<u>44,561,021</u>

The notes on pages 21 to 41 form an integral part of these financial statements.

Ooni Limited

Company Statement of Changes in Equity for the Year Ended 31 December 2023

	Share capital £	Share premium £	Retained earnings £	Total £
At 1 January 2023	15	71,599	39,255,844	39,327,458
Loss for the year	-	-	(11,423,117)	(11,423,117)
Dividends	-	-	(658,946)	(658,946)
At 31 December 2023	<u>15</u>	<u>71,599</u>	<u>27,173,781</u>	<u>27,245,395</u>

	Share capital £	Share premium £	Retained earnings £	Total £
At 1 January 2022	411	71,599	47,003,186	47,075,196
Loss for the year	-	-	(5,721,548)	(5,721,548)
Dividends	-	-	(2,036,189)	(2,036,189)
Other capital redemption reserve movements	(396)	-	396	-
Share based payment transactions	-	-	10,000	10,000
At 31 December 2022	<u>15</u>	<u>71,599</u>	<u>39,255,845</u>	<u>39,327,459</u>

The notes on pages 21 to 41 form an integral part of these financial statements.

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2023

1 General information

Ooni Limited ("the company") is a private company limited by share capital, incorporated in England and Wales.

The group consists of Ooni Limited and all of its subsidiaries.

The company's and the group's principal activities and nature of its operations are disclosed in the Directors' Report.

2 Accounting policies

Summary of significant accounting policies and key accounting estimates

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

Statement of compliance

These financial statements have been prepared in accordance with FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" ("FRS 102") and the requirements of the Companies Act 2006, including the provisions of the Large and Medium sized Companies and Groups (Accounts and Reports) Regulations 2008.

Basis of preparation

These financial statements have been prepared using the historical cost convention. The principal accounting policies adopted are set out below.

The financial statements are prepared in sterling, the functional currency of the company is US dollars. The functional currency has changed from GBP to US dollars in the year due to the majority of cash inflows and outflows being in US dollar.

Monetary amounts in these financial statements are rounded to the nearest £.

Summary of disclosure exemptions

The company is a qualifying entity for the purposes of FRS 102, being a member of a group where the parent of that group prepares publicly available consolidated financial statements, including this company, which are intended to give a true and fair view of the assets, liabilities, financial position and profit or loss of the group. The group and company, have taken advantage of exemptions from the following disclosure requirements presented within the consolidated financial statements:

- Section 7 'Statement of Cash Flows' - Presentation of a statement of cash flow and related notes and disclosures;

The company, has taken advantage of exemptions from the following disclosure requirements for parent company information presented within the consolidated financial statements:

- Section 33 'Related Party Disclosures' - Compensation for key management personnel.

Basis of consolidation

The consolidated financial statements consolidate the financial statements of the company and its subsidiary undertakings drawn up to 31 December 2023.

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2023

A subsidiary is an entity controlled by the company. Control is achieved where the company has the power to govern the financial and operating policies of an entity so as to obtain benefits from its activities.

The results of subsidiaries acquired or disposed of during the year are included in the Profit and Loss Account from the effective date of acquisition or up to the effective date of disposal, as appropriate. Where necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with those used by the group.

The purchase method of accounting is used to account for business combinations that result in the acquisition of subsidiaries by the group. The cost of a business combination is measured as the fair value of the assets given, equity instruments issued and liabilities incurred or assumed at the date of exchange, plus costs directly attributable to the business combination. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. Any excess of the cost of the business combination over the acquirer's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities recognised is recorded as goodwill.

Inter-company transactions, balances and unrealised gains on transactions between the company and its subsidiaries, which are related parties, are eliminated in full.

Intra-group losses are also eliminated but may indicate an impairment that requires recognition in the consolidated financial statements.

Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the group. Non-controlling interests in the net assets of consolidated subsidiaries are identified separately from the group's equity therein. Non-controlling interests consist of the amount of those interests at the date of the original business combination and the non-controlling shareholder's share of changes in equity since the date of the combination.

Going concern

At 31 December the Group's cash position was £6.8m. Drawings on the revolving credit facility were £2.8m. The group forecasts for 2024 show a return to profitability and positive cash flow generation is expected in the next financial year and beyond, driven by working capital effectiveness and cost saving measures which were implemented post year end and are already bringing improvements.

The Directors have reviewed the current performance and cash flow forecasts, and are satisfied that the group's forecasts and projections, taking account of potential changes in trading performance, show that the group will be able to operate within its facilities for the foreseeable future, and at a minimum for 12 months from the date of signing the financial statements.

The Group's revolving credit facility expired in February 2024 and a new facility was entered into to provide additional comfort for operational cashflow and future investment.

The Directors have therefore continued to accept the going concern basis in preparing the group's financial statements.

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2023

Key sources of estimation uncertainty

In the application of the group's accounting policies, the directors are required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised here the revision affects only that period, or in the period of the revision and future periods where the revision affects both current and future periods.

Revenue recognition

Turnover comprises the fair value of the consideration received or receivable for the sale of goods and provision of services in the ordinary course of the group's activities. Turnover is shown net of sales/value added tax, returns, rebates and discounts and after eliminating sales within the group.

The group recognises revenue when:

The amount of revenue can be reliably measured;

it is probable that future economic benefits will flow to the entity;

and specific criteria have been met for each of the group's activities.

Foreign currency transactions and balances

Transactions in foreign currencies are initially recorded at the functional currency rate prevailing at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are retranslated into the respective reporting currency of the entity at the rates prevailing on the reporting period date. Non-monetary items carried at fair value that are denominated in foreign currencies are retranslated at the rate on the date when the fair value is re-measured.

Non-monetary items measured in terms of historical cost in a foreign currency are not retranslated.

Tax

The tax expense for the period comprises current and deferred tax. Tax is recognised in profit or loss, except that a change attributable to an item of income or expense recognised as other comprehensive income is also recognised directly in other comprehensive income.

The current income tax charge is calculated on the basis of tax rates and laws that have been enacted or substantively enacted by the reporting date in the countries where the group operates and generates taxable income.

Deferred tax is recognised in respect of all timing differences between taxable profits and profits reported in the consolidated financial statements.

Unrelieved tax losses and other deferred tax assets are recognised when it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits.

Deferred tax is measured using the tax rates and laws that have been enacted or substantively enacted by the reporting date and that are expected to apply to the reversal of the timing difference.

Research and development expenditure

Research expenditure is written off against profits in the year in which it is incurred. Identifiable development expenditure is capitalised to the extent that the technical, commercial and financial feasibility can be demonstrated.

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2023

Tangible assets

Tangible assets are stated in the balance sheet at cost, less any subsequent accumulated depreciation and subsequent accumulated impairment losses. The cost of tangible assets includes directly attributable incremental costs incurred in their acquisition and installation.

The gain or loss arising on the disposal of an asset is determined as the difference between the sale proceeds and the carrying value of the asset, and is credited or charged to profit or loss.

Depreciation

Depreciation is charged so as to write off the cost of assets, other than land and properties under construction (which are not depreciated) over their estimated useful lives.

Asset class	Depreciation method and rate
Land and buildings	20% straight line
Furniture, fittings and equipment	25% straight line
Motor vehicles	25% straight line
Other tangible assets	50% straight line

Intangible assets

Separately acquired trademarks and licences are shown at historical cost.

Trademarks, licences (including software) and customer-related intangible assets acquired in a business combination are recognised at fair value at the acquisition date. Trademarks, licences and customer-related intangible assets have a finite useful life and are carried at cost less accumulated amortisation and any accumulated impairment losses.

Amortisation

Amortisation is provided on intangible assets so as to write off the cost, less any estimated residual value, over their useful life.

Asset class	Amortisation method and rate
Trademarks, patents and licenses	25% straight line
Software development	33% straight line

Investments

In the separate accounts of the company, interests in subsidiaries are initially measured at cost and subsequently measured at cost less any accumulated impairment losses. The investments are assessed for impairment at each reporting date and any impairment losses or reversals of impairment losses are recognised immediately in profit or loss.

A subsidiary is an entity controlled by the group. Control is the power to govern the financial and operating policies of the entity so as to obtain benefits from its activities.

Cash and cash equivalents

Cash and cash equivalents comprise cash on hand and call deposits, and other short-term highly liquid investments that are readily convertible to a known amount of cash and are subject to an insignificant risk of change in value.

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2023

Stocks

Stocks are stated at the lower of cost and estimated selling price less costs to complete and sell. Cost is determined using the weighted average method.

The cost of finished goods and work in progress comprises direct materials and, where applicable, direct labour costs and those overheads that have been incurred in bringing the inventories to their present location and condition. At each reporting date, stocks are assessed for impairment. If stocks are impaired, the carrying amount is reduced to its selling price less costs to complete and sell; the impairment loss is recognised immediately in profit or loss.

The company experienced exorbitant global freight rates between late 2021 and the end of 2022. Combined with detention charges incurred as a result of port congestion, door to door inbound freight rates peaked at up to 15 times the pre-pandemic averages. Rates have returned to normal as of early 2023. The stabilisation of these rates combined with a change ERP system allowed the company to write off any remaining excess freight charges carried in our inventory value. This resulted in a one off cost of £5.0m in 2023. The company also took the decision to amend its inventory valuation method to weighted average, which is reflected in these financial statements.

Provisions

Provisions are recognised when the group has an obligation at the reporting date as a result of a past event, it is probable that the group will be required to settle that obligation and a reliable estimate can be made of the amount of the obligation.

Leases

Leases in which substantially all the risks and rewards of ownership are retained by the lessor are classified as operating leases. Payments made under operating leases are charged to profit or loss on a straight-line basis over the period of the lease.

Equity instruments

Equity instruments issued by the group are recorded at the fair value of proceeds received, net of transaction costs.

Dividends

Dividends payable on equity instruments are recognised as liabilities once they are no longer at the discretion of the group.

Employee benefits

The costs of short-term employee benefits are recognised as a liability and an expense, unless those costs are required to be recognised as part of the cost of stock or fixed assets.

The cost of any unused holiday entitlement is recognised in the period in which the employee's services are received.

Termination benefits are recognised immediately as an expense when the company is demonstrably committed to terminate the employment of an employee or to provide termination benefits.

Defined contribution pension obligation

For defined contribution schemes the amount charged to profit or loss is the contributions payable in the year.

Differences between contributions payable in the year and contributions actually paid are shown as either accruals or prepayments.

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2023

Share based payments

Equity-settled share-based payments are measured at fair value at the date of grant by reference to the fair value of the equity instruments granted using the Black Scholes model. The fair value determined at the grant date is expensed on a straight-line basis over the vesting period, based on the estimate of shares that will eventually vest. A corresponding adjustment is made to equity.

When the terms and conditions of equity-settled share-based payments at the time they were granted are subsequently modified, the fair value of the share-based payment under the original terms and conditions and under the modified terms and conditions are both determined at the date of the modification. Any excess of the modified fair value over the original fair value is recognised over the remaining vesting period in addition to the grant date fair value of the original share-based payment. The share-based payment expense is not adjusted if the modified fair value is less than the original fair value.

Cancellations or settlements (including those resulting from employee redundancies) are treated as an acceleration of vesting and the amount that would have been recognised over the remaining vesting period is recognised immediately.

Financial instruments

Classification

The group has elected to apply the provisions of Section 11 'Basic Financial Instruments' and Section 12 'Other Financial Instruments Issues' of FRS 102 to all of its financial instruments.

Recognition and measurement

Financial instruments are recognised when the group becomes party to the contractual provisions of the instrument.

Financial assets and liabilities are offset and the net amounts presented in the financial statements when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

Basic financial assets, which include trade and other debtors and cash and bank balances, are initially measured at transaction price including transaction costs and are subsequently carried at amortised cost using the effective interest method unless the arrangement constitutes a financing transaction, where the financial asset is measured at the present value of the future receipts discounted at a market rate of interest.

Impairment

Financial assets, other than those held at fair value through profit and loss, are assessed for indicators of impairment at each reporting end date.

Financial assets are impaired where there is objective evidence that, as a result of one or more events that occurred after the initial recognition of the financial asset, the estimated future cash flows have been affected. If an asset is impaired, the impairment loss is the difference between the carrying amount and the present value of the estimated cash flows discounted at the asset's original effective interest rate. The impairment loss is recognised in profit or loss.

If there is a decrease in the impairment loss arising from an event occurring after the impairment was recognised, the impairment is reversed. The reversal is such that the current carrying amount does not exceed what the carrying amount would have been, had the impairment not previously been recognised. The impairment reversal is recognised in profit or loss.

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2023

Derecognition of financial assets

Financial assets are derecognised only when the contractual rights to the cash flows from the asset expire or are settled, or when the group transfers the financial asset and substantially all the risks and rewards of ownership to another entity, or if some significant risks and rewards of ownership are retained but control of the asset has transferred to another party that is able to sell the asset in its entirety to an unrelated third party.

Financial liabilities

Financial liabilities and equity instruments are classified according to the substance of the contractual arrangements entered into. An equity instrument is any contract that evidences a residual interest in the assets of the group after deducting all of its liabilities.

Basic financial liabilities, including trade and other creditors, bank loans, loans from fellow group companies and preference shares that are classified as debt, are initially recognised at transaction price unless the arrangement constitutes a financing transaction, where the debt instrument is measured at the present value of the future payments discounted at a market rate of interest.

Debt instruments are subsequently carried at amortised cost, using the effective interest rate method.

Financial liabilities are derecognised when, and only when, the group's contractual obligations are discharged, cancelled, or they expire.

3 Turnover

The analysis of the group's turnover for the year from continuing operations is as follows:

	2023	2022
	£	£
Sale of goods	<u>157,553,030</u>	<u>207,950,656</u>

The geographical split is not disclosed in these accounts as it is considered seriously prejudicial to the group.

4 Interest payable and similar expenses

	2023	2022
	£	£
Interest on bank overdrafts and borrowings	<u>1,755,733</u>	<u>1,468,021</u>

5 Staff costs

The average number of persons employed by the group (including directors) during the year, analysed by category was as follows:

	2023	2022
	No.	No.
Administration and support	347	270
Other departments	<u>7</u>	<u>7</u>
	<u>354</u>	<u>277</u>

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2023

The aggregate payroll costs (including directors' remuneration) were as follows:

	2023	2022
	£	£
Wages and salaries	18,540,637	14,556,959
Social security costs	1,770,433	1,439,086
Other short-term employee benefits	1,026,803	1,179,708
Pension costs, defined contribution scheme	907,312	471,840
Other employee expense	348,448	489,943
	<u>22,593,633</u>	<u>18,137,536</u>

6 Directors' remuneration

The directors' remuneration for the year was as follows:

	2023	2022
	£	£
Remuneration	227,480	246,462
Pension costs, defined contribution scheme	26,560	30,193
	<u>254,040</u>	<u>276,655</u>

During the current and previous year, two of the directors received remuneration by way of dividend via the ultimate parent entity.

During the year the number of directors who were receiving benefits and share incentives was as follows:

	2023	2022
	No.	No.
Accruing benefits under money purchase pension scheme	<u>3</u>	<u>3</u>

In respect of the highest paid director:

	2023	2022
	£	£
Remuneration	200,980	220,962
Company contributions to money purchase pension schemes	<u>12,960</u>	<u>17,285</u>

7 Auditor remuneration

	2023	2022
	£	£
Audit of these financial statements	<u>97,500</u>	<u>65,000</u>
Other fees to auditors		
Taxation compliance services	-	-
All other non-audit services	<u>-</u>	<u>4,468</u>
	<u>-</u>	<u>4,468</u>

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2023

8 Operating (loss)/profit

Arrived at after charging/(crediting)

	2023	2022
	£	£
Depreciation expense	1,509,649	494,374
Amortisation expense	310,367	-
Research and development cost	804,730	734,392
Foreign exchange losses/(gains)	1,122,096	(1,698,686)
Operating lease expense - property	1,752,290	814,827
Share based payment transactions	<u>-</u>	<u>10,000</u>

9 Taxation

Tax charged/(credited) in the consolidated profit and loss account

	2023	2022
	£	£
Current taxation		
Corporation tax	1,138,520	424,159
Corporation tax adjustment to prior periods	<u>801,423</u>	<u>(367,623)</u>
	<u>1,939,943</u>	<u>56,536</u>
Deferred taxation		
Arising from origination and reversal of timing differences	(316,763)	229,320
Arising from changes in tax rates and laws	(19,925)	72,417
Arising from previously unrecognised tax loss, tax credit or temporary difference of prior periods	<u>-</u>	<u>(13,145)</u>
Total deferred taxation	<u>(336,688)</u>	<u>288,592</u>
Tax expense in the income statement	<u>1,603,255</u>	<u>345,128</u>

The tax on profit before tax for the year is higher than the standard rate of corporation tax in the UK (2022 - higher than the standard rate of corporation tax in the UK) of 23.56% (2022 - 19%).

The differences are reconciled below:

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2023

	2023 £	2022 £
Loss before tax	<u>(7,683,183)</u>	<u>(1,438,561)</u>
Corporation tax at standard rate	(1,810,438)	(273,327)
Effect of revenues exempt from taxation	(42,547)	(490,865)
Effect of expense not deductible in determining taxable profit (tax loss)	187,631	206,706
Effect of foreign tax rates	193,990	(162,538)
Deferred tax expense from unrecognised tax loss or credit	2,273,196	1,445,920
Adjustments in respect of previous periods	<u>801,423</u>	<u>(380,768)</u>
Total tax charge	<u>1,603,255</u>	<u>345,128</u>

There are tax losses of £16,406,351 (2022: £7,198,874) relating to the company which have not been recognised due to uncertainty over their recoverability.

Deferred tax

Group

Deferred tax assets and liabilities

	Asset £	Liability £
2023		
Accelerated capital allowances	210,809	-
Short-term timing differences	-	210,809
	<u>210,809</u>	<u>210,809</u>

	Asset £	Liability £
2022		
Accelerated capital allowances	423,420	-
Short-term timing differences	-	86,733
	<u>423,420</u>	<u>86,733</u>

Company

Deferred tax assets and liabilities

	Asset £	Liability £
2023		
Accelerated capital allowances	210,809	-
Short-term timing differences	-	210,809
	<u>210,809</u>	<u>210,809</u>

	Asset £	Liability £
2022		
Accelerated capital allowances	423,420	-
Short-term timing differences	-	86,733
	<u>423,420</u>	<u>86,733</u>

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2023

10 Dividends

	2023 £	2022 £
Final dividend of £658,946 (2022 - £2,063,189)	658,946	2,036,189

11 Intangible assets

Group and Company

	Trademarks, patents and licenses £	Internally generated software development costs £	Total £
Cost or valuation			
At 1 January 2023	284,415	269,953	554,368
Additions	116,606	651,656	768,262
At 31 December 2023	401,021	921,609	1,322,630
Amortisation			
Amortisation charge	67,417	242,950	310,367
At 31 December 2023	67,417	242,950	310,367
Carrying amount			
At 31 December 2023	333,604	678,659	1,012,263
At 31 December 2022	284,415	269,953	554,368

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2023

12 Tangible assets

Group

	Land and buildings £	Properties under construction £	Furniture, fittings and equipment £	Other tangible assets £	Motor vehicles £	Total £
Cost or valuation						
At 1 January 2023	357,952	1,185,758	2,559,905	658,118	49,397	4,811,130
Additions	184,963	-	1,540,853	331,505	-	2,057,321
Transfers	1,185,758	(1,185,758)	-	-	-	-
At 31 December 2023	<u>1,728,673</u>	<u>-</u>	<u>4,100,758</u>	<u>989,623</u>	<u>49,397</u>	<u>6,868,451</u>
Depreciation						
At 1 January 2023	270,959	-	1,102,659	-	8,233	1,381,851
Charge for the year	297,401	-	747,835	452,064	12,349	1,509,649
At 31 December 2023	<u>568,360</u>	<u>-</u>	<u>1,850,494</u>	<u>452,064</u>	<u>20,582</u>	<u>2,891,500</u>
Carrying amount						
At 31 December 2023	<u>1,160,313</u>	<u>-</u>	<u>2,250,264</u>	<u>537,559</u>	<u>28,815</u>	<u>3,976,951</u>
At 31 December 2022	<u>86,993</u>	<u>1,185,758</u>	<u>1,457,247</u>	<u>658,118</u>	<u>41,164</u>	<u>3,429,280</u>

Included within the net book value of land and buildings above is £Nil (2022 - £Nil) in respect of freehold land and buildings and £1,160,313 (2022 - £86,993) in respect of long leasehold land and buildings.

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2023

Company

	Land and buildings £	Properties under construction £	Furniture, fittings and equipment £	Other tangible assets £	Motor vehicles £	Total £
Cost or valuation						
At 1 January 2023	311,699	1,185,758	2,340,153	27,506	49,397	3,914,513
Additions	114,762	-	1,448,079	-	-	1,562,841
Transfers	1,185,758	(1,185,758)	-	-	-	-
At 31 December 2023	<u>1,612,219</u>	<u>-</u>	<u>3,788,232</u>	<u>27,506</u>	<u>49,397</u>	<u>5,477,354</u>
Depreciation						
At 1 January 2023	270,916	-	1,068,788	-	8,233	1,347,937
Charge for the year	276,533	-	675,176	13,753	12,349	977,811
At 31 December 2023	<u>547,449</u>	<u>-</u>	<u>1,743,964</u>	<u>13,753</u>	<u>20,582</u>	<u>2,325,748</u>
Carrying amount						
At 31 December 2023	<u>1,064,770</u>	<u>-</u>	<u>2,044,268</u>	<u>13,753</u>	<u>28,815</u>	<u>3,151,606</u>
At 31 December 2022	<u>40,782</u>	<u>1,185,758</u>	<u>1,271,364</u>	<u>27,506</u>	<u>41,164</u>	<u>2,566,574</u>

Included within the net book value of land and buildings above is £Nil (2022 - £Nil) in respect of freehold land and buildings and £1,064,769 (2022 - £40,782) in respect of long leasehold land and buildings.

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2023

13 Investments

Company

	2023	2022
	£	£
Investments in subsidiaries	44,074	39,811
Subsidiaries		£
Cost or valuation		
At 1 January 2023		39,811
Additions		4,263
At 31 December 2023		44,074
Provision		
At 1 January 2023		-
Provision		-
At 31 December 2023		-
Carrying amount		
At 31 December 2023		44,074
At 31 December 2022		39,811

Details of undertakings

Details of the investments in which the company holds 20% or more of the nominal value of any class of share capital are as follows, all shareholdings are held directly unless stated otherwise:

Undertaking	Registered office	Holding	Proportion of voting rights and shares held	
			2023	2022
Subsidiary undertakings				
Ooni Inc.	2140 South Dupont Highway, Camden, Kent DE 19934	Ordinary	100%	100%
	United States			
Ooni GmbH	Simrockstraße 11, 53113 Bonn	Ordinary	100%	100%
	Germany			
Ooni Pty Limited	Machpherson Kelley, Level 7, 600 Bourke Street, Melbourne VIC 3000	Ordinary	100%	100%
	Australia			
Ooni NZ Limited	Tompkins Wake, Level 17, 88 Shortland Street, Auckland Central, Auckland, 1010	Ordinary	100%	100%
	New Zealand			

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2023

Undertaking	Registered office	Holding	Proportion of voting rights and shares held	
Ooni Canada Inc	66 Wellington Street West, Suite 4100, Toronto, Ontario, M5K 1B7 Canada	Ordinary	100%	100%
Ooni SAS	52 Boulevard de Sebastopol, 75003, Paris, France France	Ordinary	100%	100%
Ooni Srl	Viale Monte Santo. 1/3, 20124 Milano Italy	Ordinary	100%	100%
Ooni Finland Oy	Jaakonkatu 3 HelsinkiFinland Finland	A00100 Ordinary	100%	100%
Ooni International Trading	Room 328, Huibo Center, No 231, Shibocun Road, Pudong New District, Shanghai China	Ordinary	100%	100%
Ooni AB	Eversheds Sutherland Advokatbyrå AB, Box 14055, 104 40 Stockholm Sweden	Ordinary	100%	0%
Ooni Norway AS	C/O Arntzen de Besche Advokatfirma AS, Ruseløkkveien 30, 0251 OSLO Norway	Ordinary	100%	0%

The principal activity of all the subsidiaries listed below is the sale and distribution of pizza ovens and related accessories:

Ooni Inc.

Ooni GmbH

Ooni Pty Limited

Ooni NZ Limited

Ooni Canada Inc

The principal activity of all the subsidiaries listed below is the local sale and marketing or quality control activities for the Ooni Group:

Ooni SAS

Ooni Srl

Ooni Finland Oy

Ooni International Trading Shanghai Co., Ltd

Ooni AB

Ooni Norway AS

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2023

14 Stocks

	Group		Company	
	2023	2022	2023	2022
	£	£	£	£
Finished goods and goods for resale	<u>28,042,974</u>	<u>56,075,675</u>	<u>11,304,417</u>	<u>18,723,022</u>

15 Debtors

		Group		Company	
		2023	2022	2023	2022
	Note	£	£	£	£
Trade debtors		12,601,876	16,549,653	2,210,875	2,911,146
Amounts owed by related parties	26	22,980	-	15,962,634	38,672,995
Other debtors		793,422	805,707	1,628,636	704,959
Prepayments		3,178,413	7,660,850	2,621,070	6,546,099
Income tax asset		-	672,674	-	878,997
		<u>16,596,691</u>	<u>25,688,884</u>	<u>22,423,215</u>	<u>49,714,196</u>

Amounts owed by group undertakings are repayable on demand and interest free.

16 Cash and cash equivalents

	Group		Company	
	2023	2022	2023	2022
	£	£	£	£
Cash at bank	<u>6,824,695</u>	<u>7,877,609</u>	<u>2,901,526</u>	<u>2,445,526</u>

17 Analysis of changes in net debt

Group

	At 1 January 2023 £	Financing cash flows £	Foreign exchange movements £	At 31 December 2023 £
Cash and cash equivalents				
Cash	7,877,609	(1,386,659)	333,745	6,824,695
Borrowings				
Short term borrowings	<u>(28,593,206)</u>	<u>25,261,356</u>	<u>531,850</u>	<u>(2,800,000)</u>
	<u>(20,715,597)</u>	<u>23,874,697</u>	<u>865,595</u>	<u>4,024,695</u>

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2023

18 Creditors

	Note	Group		Company	
		2023	2022	2023	2022
		£	£	£	£
Due within one year					
Loans and borrowings	19	2,800,000	28,593,206	2,800,000	28,593,206
Trade creditors		11,199,379	11,900,639	7,557,418	3,921,267
Social security and other taxes		2,369,231	2,656,242	372,185	(195,858)
Outstanding defined contribution pension costs		181,963	86,657	112,453	75,657
Other payables		1,030,849	540,432	692,459	113,079
Income tax liability		480,595	-	109,882	-
Accruals and deferred income		3,849,133	4,950,932	1,947,309	1,872,000
		<u>21,911,150</u>	<u>48,728,108</u>	<u>13,591,706</u>	<u>34,379,351</u>

The amounts included within bank loans above are secured by a fixed and floating charge over the assets of the parent company.

19 Loans and borrowings

Current loans and borrowings

	Group		Company	
	2023	2022	2023	2022
	£	£	£	£
Bank borrowings	<u>2,800,000</u>	<u>28,593,206</u>	<u>2,800,000</u>	<u>28,593,206</u>

The above bank loan borrowings are payable within one year and are subject to a variable rate of interest.

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2023

20 Pension and other schemes

Defined contribution pension scheme

The group operates a defined contribution pension scheme. The pension cost charge for the year represents contributions payable by the group to the scheme and amounted to £907,312 (2022 - £ 471,840).

A defined contribution pension scheme is operated for all qualifying employees. The assets of the scheme are held separately from those of the group in an independently administered fund.

Contributions totalling £181,963 (2022 - £86,657) were payable to the scheme at the end of the year and are included in creditors.

21 Share capital

Allotted, called up and fully paid shares

	2023		2022	
	No.	£	No.	£
Ordinary A shares of 0.00001p each	996,390	10	996,390	10
Ordinary B shares of 0.00001p each	147,808	1	147,808	1
Ordinary B1 shares of 0.00001p each	138,000	1	138,000	1
Ordinary C shares of 0.00001p each	32,500	-	32,500	-
Ordinary D shares of 0.00001p each	200,640	2	200,640	2
Deferred shares of 0.00001p each	7,500	-	7,500	-
	<u>1,522,838</u>	<u>15</u>	<u>1,522,838</u>	<u>15</u>

Rights, preferences and restrictions

The ordinary A shares full voting rights as well as rights to dividends.

The ordinary B shares have rights to dividends but no voting rights attached to them.

The ordinary B1 shares have full voting rights as well as rights to dividends.

The ordinary C shares have rights to capital returns but no voting or dividend rights attached to them.

The ordinary D shares have rights to capital returns but no voting rights attached to them.

The deferred shares have no rights to voting, dividends or capital.

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2023

22 Reserves

Group

Share premium

Consideration received for shares issued above their nominal value net of transaction costs.

Profit and Loss reserves

Cumulative profit and loss net of distributions to owners.

23 Share-based payments

EMI Share options

Scheme details and movements

In November 2019, the company established an EMI Share options programme that entitled employees to purchase 5% of the ordinary share capital of the company. Under the programme, the holder of the vested options was entitled to purchase shares at an agreed exercise price. The key terms and conditions related to the grants under these programmes were as follows; all the options were to be settled by the physical delivery of shares.

During the year, the company recognised total share-based payment expenses of £nil (2022 - £10,000) which related to equity settled share based payment transactions.

The movements in the number of share options during the year were as follows:

	2023 Number	2022 Number
Outstanding, start of period	2,858	147,056
Transferred during the period	-	(144,198)
Outstanding, end of period	<u>2,858</u>	<u>2,858</u>

The movements in the weighted average exercise price of share options during the year were as follows:

	2023 £	2022 £
Outstanding, start of period	0.96	1.96
Transferred during the period	-	(1.00)
Outstanding, end of period	<u>0.96</u>	<u>0.96</u>

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2023

24 Obligations under leases and hire purchase contracts

Group

Operating leases

The total of future minimum lease payments is as follows:

	2023	2022
	£	£
Not later than one year	1,742,678	1,746,045
Later than one year and not later than five years	5,451,522	6,587,799
Later than five years	2,148,561	2,821,328
	<u>9,342,761</u>	<u>11,155,172</u>

The amount of non-cancellable operating lease payments recognised as an expense during the year was £1,752,290 (2022 - £814,827).

Company

Operating leases

The total of future minimum lease payments is as follows:

	2023	2022
	£	£
Not later than one year	762,633	758,733
Later than one year and not later than five years	2,919,629	3,005,595
Later than five years	2,148,561	2,821,328
	<u>5,830,823</u>	<u>6,585,656</u>

The amount of non-cancellable operating lease payments recognised as an expense during the year was £747,965 (2022 - £214,535).

25 Contingent liabilities

Group

Consistent with the risk factor identified in the Strategic Report, the group is involved from time to time in certain claims and litigation. In the opinion of the directors, as at 31 December 2023, liabilities, if any, arising from claims and litigation against group as at that date will not have a material effect on the group's reported financial position or results.

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2023

26 Related party transactions

Group

Key management personnel

The remuneration of key management personnel of the group, which the group considers to include the senior management team and operational directors, is as follows.

Key management compensation

	2023	2022
	£	£
Salaries and other short term employee benefits	<u>5,428,170</u>	<u>2,977,808</u>

Summary of transactions with subsidiaries

The group has taken advantage of the exemption contained in FRS 102 Section 33.1A and has therefore not disclosed transactions with other members of the Ooni Limited group of companies as they are 100% owned.

27 Parent and ultimate parent undertaking

The company's immediate parent is Magic Foundry Limited, incorporated in Scotland.

The most senior parent entity producing publicly available financial statements is Magic Foundry Limited. These financial statements are available upon request from Companies House.

28 Events after the financial period

There are no events after the year end which need to be disclosed.